

HEADLINE JUDGMENT

Note: 7 Aug figures are intraday prints; the last confirmed close is Thursday 6 Aug. The integrity check clears — the 6 Aug row has refreshed with true closes. **Score HOLDS at 27/30, a fourth consecutive session. No channel moved.** Three things define the edition. First, **yesterday's Singapore snapshot missed the largest upside crude session of the war and most of a six-basis-point selloff in the long end.** Brent closed \$80.46 against the \$78.20 I published, **\$2.26 above the snapshot — the widest upside crude gap this monitor has recorded** — and the 30Y closed 5.2242% against 5.1638%, 6.04 bp higher. Every directional statement in yesterday's edition about a rallying long end was reversed by the close. Second, **Stage-4 Threshold B RE-ARMED on that close** — 30Y 5.2242% with 10Y 4.6778%, both legs satisfied after two sessions unsatisfied — and it did so **six days before the 30Y refunding auction on 13 August**. In the same session **MOVE's break below 75 lasted exactly one day**: it closed 76.12, up 2.54, so the Treasury downgrade leg that was satisfied for the first time in the war on Wednesday is unsatisfied again on Thursday, while the 30Y leg widened from 16.80 bp to **22.42 bp**. The rotation reported yesterday has reversed; both legs now fail and both are further away. Third, **the corridor deal cracked on terms rather than on trust**. An Iranian parliamentary committee is reviewing a draft bill to bar US, Israeli and other 'hostile' vessels from Hormuz and to charge transit fees of **up to 7% of cargo value** with fines to 20% — which directly contradicts the no-tolls term at the centre of the mechanism Axios described. **Trump said on Thursday that no deal has been reached and that the blockade stays.** Oman has still said nothing: the foreign ministry's last statement of any kind is dated 27 July. Gharibabadi's description of the route contradicts Axios'; AP reports the Supreme Leader has yet to approve, where Axios said approval completed on 4 August; and parliament speaker Ghalibaf called the whole American track 'theater diplomacy on loop'. Iranian state media claimed a naval engagement with 'hostile targets' off Qeshm on Thursday night — **denied by Iran's own Hormozgan deputy governor**, so the quiet run is contested rather than broken. Against that, a senior Saudi official told Reuters and CNN that Riyadh expects **imminent coordinated attacks from north and south** on energy infrastructure, ports and airports. Five of six channels remain maxed; only oil, at 2/5, can raise this number, and its downgrade anchor moved from \$5.38 to **\$7.98** away. Sequencing 27 → 27 → 27 → 27.

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

7 Aug 2026 readings are intraday prints from the Singapore morning. The 6 Aug row has refreshed and is a confirmed close; the integrity check clears. d/d is 7 Aug intraday vs the 6 Aug close; w/w is vs the 31 Jul close (five sheet-rows back); vs-pre-war is against the 27 Feb 2026 close. Restated continuation series (front-month CO2/CL2) in force. **Thursday's US session produced the widest upside crude reconciliation gap this monitor has recorded** — Brent closed \$2.26 ABOVE my snapshot — one session after the narrowest. The error is regime-dependent, and this was the bad regime.

Benchmark	Intraday 7 Aug	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	\$80.93 /bbl (H 81.50 / L 80.85)	+\$0.47 (−\$7.00 w/w)	from \$72.48 (+11.7%) — an \$8.45/bbl premium , up from \$5.72 yesterday. The bounce that began Thursday is extending: a 65-cent range on the morning, entirely above Thursday's close, and a third consecutive up-session. Active COA prints \$83.16	CO2 Comdty (Close)
Brent · 6 Aug close (last confirmed)	\$80.46 /bbl	+\$2.60 vs the 5 Aug close \$77.86	\$14.54 below the \$95 trigger on a close basis; \$7.98 above the \$72.48 downgrade anchor , against \$5.38 yesterday. The downgrade price leg has WIDENED by \$2.60 in a single session and is no longer the narrowest of the war. Thursday's close ran \$2.26 ABOVE my Thursday-morning snapshot — the largest upside crude gap the monitor has recorded, exceeding the +\$1.97 of 31 Jul. Bloomberg attributed the move to the Iranian transit-fee bill and to reports of an Iranian engagement off Qeshm.	CO2 Comdty (Close)
WTI front-month	\$76.58 /bbl	+\$0.42 (−\$4.91 w/w)	from \$67.02 (+14.3%) — the CL2 artifact against the active contract persists, CLA prints \$77.82 against CL2's \$76.58. The 6 Aug close of \$76.16 is \$2.11 above the 5 Aug close	CL2 Comdty (Close)
Brent–WTI spread	\$4.35 /bbl	wider by \$0.05 on the day	\$5.34 on the active contracts (COA \$83.16 / CLA \$77.82). The spread has widened for a third consecutive session from \$3.53 on the 4 Aug close and is at its widest since the 31 Jul close of \$6.44. The Hormuz-specific premium that came out on the de-escalation trade is going back in — and it is going into Brent rather than WTI, which is what a waterborne-supply risk looks like	derived
Henry Hub natural gas	\$2.620 /MMBtu	−\$0.020 (−\$0.127 w/w)	from \$3.06 (−14.5%) — a NEW LOW FOR THE ENTIRE WAR , taking out every print since 28 Feb and a fifth consecutive new low. US gas is further below pre-war than at any point in this conflict on the same morning that Brent trades an \$8.45 premium. The Hormuz/LNG-routing signature is at its most extreme reading to date: this is a routing shock, not a global-energy shock	NGA Comdty (Close)
TTF Dutch gas (active)	€58.400 /MWh	+€2.631 (−€0.671 w/w)	from €31.23 (+87.0%) — a third consecutive advance and €5.996 off Wednesday's €52.404 low in two sessions , an 11.4% round trip. European gas has now recovered more than half of the €11.245 it gave back from the 24 Jul war record of €63.649, and is flat on the week. It is trading the transit-fee bill, not the deal	TZTA Comdty (Close)

Benchmark	Intraday 7 Aug	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Japan/Asia LNG (6 Aug close — no 7 Aug print)	¥3,276	−¥77 vs the 5 Aug ¥3,353	from ¥1,669 (+96.3%) — the 6 Aug print BACKFILLED in this extract , a third consecutive decline and the lowest since 16 Jul. There is no 7 Aug print, flagged and NOT carried forward. Asia LNG is now falling while TTF rises, re-opening the divergence that closed yesterday. Hormuz still moves roughly a fifth of global LNG	JGLA Comdty (Close)

US Treasuries and inflation expectations — Bloomberg

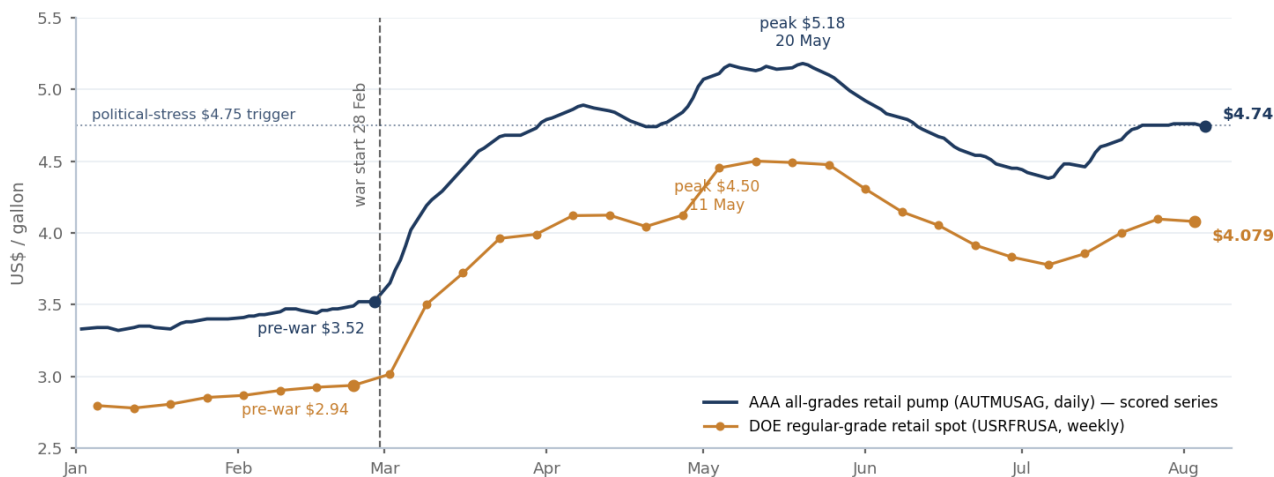
7 Aug 2026 yields are intraday. The 6 Aug close is confirmed and is the reading on which every trigger and Stage-4 test below is judged. d/d is vs the 6 Aug close; w/w vs 31 Jul. **Thursday's US session sold the curve off 6.0 to 6.7 bp from the Singapore-morning snapshot** — five times Wednesday's gap and the second largest long-end miss the monitor has recorded — and took MOVE back up 2.54 points. Every trigger distance reported yesterday was computed off the wrong side of that move.

Tenor	Yield (%) — intraday 7 Aug	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
2-year UST	4.25	−0.0	−4.6	+87.0 (from 3.37%) — the front end reversed 6.4 bp of Wednesday's rally on the Thursday close and is unchanged this morning to two-hundredths of a basis point	USGG2YR Index
5-year UST	4.39	−0.4	−5.7	+89.1 (from 3.50%)	USGG5YR Index
10-year UST	4.67	−0.4	−6.1	+73.6 (from 3.94%) — the 6 Aug close of 4.6778% is back ABOVE the 4.65% Stage-4 leg by 2.78 bp, ending a three-close run below it and re-satisfying half of Threshold B. This morning's 4.6739% holds 2.39 bp above the leg. The war record is the 4.7347% of 31 Jul, 5.7 bp above the 6 Aug close	USGG10YR Index
30-year UST	5.22	−0.4	−5.3	+61.0 (from 4.61%) — the 6 Aug close of 5.2242% is back ABOVE the 5.20% Stage-4 leg by 2.42 bp, 17.42 bp above the 13 May auction stop against 11.80 bp on Wednesday, and 22.42 bp above the 5.00% downgrade line against 16.80 bp. This morning's 5.2199% holds above the leg. The war record is the 5.2724% of 31 Jul, 4.8 bp above the 6 Aug close	USGG30YR Index
2s10s spread	+42.5 bp	−0.2	−1.5	−13.2 (still flatter than pre-war) — the curve was unchanged to within a tenth of a basis point on the Thursday close (+42.614 against +42.730) while the level of yields rose 6 bp. A parallel selloff, not a change in curve shape, exactly as the rally was a parallel unwind. It is 18.2 bp off the 24 Jun war low of +24.25 bp	USYC2Y10 Index
10Y breakeven inflation	2.251	+0.3	−3.4	−0.6 (from 2.2569%) — the 6 Aug close of 2.2481% rose 3.05 bp and is back within a third of a basis point of the pre-war anchor, ending the two-close run below it. Spot inflation compensation gave back its round trip in one session	USGGBE10 Index
5Y5Y forward inflation	2.334	+0.3	−2.6	+19.2 (from 2.14%) — the 6 Aug close of 2.3305% is an EIGHTH consecutive close above the 2.30% trigger that fired this channel 4→5 on 31 Jul, and now by 3.05 bp rather than Wednesday's 0.67 bp . The four-session decline is over: the forward rose 2.38 bp and the tension flagged yesterday has resolved in favour of the upgrade, not against it	USGG5Y5Y Index
SOFR (blank 6 and 7 Aug)	3.64	—	no print	the 5 Aug print has BACKFILLED at 3.64 , two basis points below the 3.66 reported as the last print yesterday. 6 and 7 Aug are blank, flagged and NOT carried as fresh. Three of the last four sessions dark	SOFRRATE Index

Cross-asset stress and political-transmission gauges — Bloomberg

Gauge	Latest	As of	Δ vs pre-war	Interpretation
DXY	99.990	7 Aug intraday	+2.38 (from 97.61)	A second consecutive advance after Thursday closed at 99.930 — up 0.254 on the session and ending a run of five straight declines that had taken it to its lowest close since 16 June. The dollar turned with the long end rather than against it, which again reads as a US-rates repricing rather than a haven bid.
MOVE	76.12	6 Aug close (no 7 Aug print)	+2.74 (from 73.38)	Up 2.54 on the session, and the break below 75 lasted exactly one day. Wednesday's 73.58 was the first close in the war to satisfy the volatility leg of the Treasury downgrade; Thursday's 76.12 unsatisfies it. The index is now 2.74 points ABOVE its pre-war anchor, not 0.20 above it, so the 'fully round-tripped' reading published yesterday no longer holds on the latest close. 53.88 points below Threshold C. No 7 August print.
VIX	15.15	6 Aug close (no 7 Aug print)	-4.71 (from 19.86)	Down 0.66 to the second-lowest close of the entire war , behind only the 15.03 of 10 July. Equity volatility fell while rates volatility rose — the two diverged again. A VIX at 15.15 against a shock score of 27/30 is the single widest gap between this monitor and the equity market recorded to date. There is no 7 August print.
AAA gasoline	\$4.74 /gal	5 Aug print (6–7 Aug blank)	+\$1.22 (from \$3.52, +34.7%)	Political-stress score reference. The 5 Aug print BACKFILLED at \$4.74 — one cent BELOW the \$4.75 trigger and the first print of the war beneath it since the upgrade fired. The channel does not move: the documented downgrade is a sustained retreat toward the \$3.52 anchor, which is \$1.22 lower, and hysteresis requires a reversal past a wider threshold than the one that fired the upgrade. But the tension is real and is flagged, not buried. Blank 6 and 7 Aug — two dark sessions — so the retreat rests on one print that is now stale. Basis note: all-grades, not the regular-grade average AAA publishes, which printed \$4.0633 on 6 Aug.
DOE gasoline	\$4.079 /gal	3 Aug weekly print (no new release)	+\$1.14 (from ~\$2.94, +38.9%)	Corroboration only. No new print — weekly series, next EIA release 11 Aug. AAA's own regular-grade average fell again to \$4.0633 on 6 Aug from \$4.0801, down 1.68 cents on the day and 3.48 cents on the week : the retreat in the scored series is independently corroborated, which matters given AUTMUSAG has gone dark. Diesel is doing the opposite on the week — \$5.3474 on 6 Aug, down 1.48 cents on the day but up 0.81 cents on the week and \$1.6072 on the year, and roughly 47 cents below its all-time record.

US retail gasoline — the two tracked series, 2026 year-to-date



AUTMUSAG (AAA all-grades retail pump, daily) is the political-stress score reference (pre-war \$3.52, peak \$5.18, latest confirmed print \$4.74 on 5 Aug, backfilled in this extract; 6 and 7 Aug blank); USFRUSA (DOE regular-grade retail spot, weekly) is the complementary gauge (pre-war ~\$2.94, peak \$4.50, latest \$4.079 for the week to 3 Aug, no new release until 11 Aug). The dotted line is the \$4.75 political→5 threshold. The shape at the right-hand end is the story: exactly \$4.75 on 24, 27, 28 and 29 Jul, through the line at \$4.76 on 30 and 31 Jul and 3 Aug — three closes that fired the 4→5 upgrade — back ON the line at \$4.75 on 4 Aug, and now **\$4.74 on 5 Aug, the first print BELOW the trigger since the upgrade**. The break has not just stopped extending; it has reversed by a cent. Two dark sessions follow it. Diesel is the counterweight: AAA had on-highway diesel at \$5.3474 on 6 Aug, still up 0.81 cents on the week and \$1.6072 on the year, with EIA distillate stocks down 3.5 mb in the week to 31 Jul to about 12% below the five-year average.

Strait operational state

Indicator	Current reading	Source
Strait closed · day 159	Closed since 28 Feb. UKMTO's JMIC Advisory Note Update 080 of 4 Aug remains the latest published advisory — no Update 081 could be sourced — holding the Strait of Hormuz at SEVERE against a 138/day historical average with single-digit tanker transits a day. Lloyd's List Intelligence's brief of 5 Aug counts 84 transits in the week to 2 Aug against 45 the week before , 52 non-Iranian-linked against 28, and puts US blockade redirections at 45 vessels, 2 disabled and 2 boarded ; a compilation of CENTCOM's own 5 Aug statement gives 48 redirected, and the two are reported unreconciled. About a quarter of non-Iranian-linked traffic uses the Omani coastal route, on which two ships have been struck since 1 Aug. Roughly 135 vessels are trapped inside the Gulf — 65 that entered during the lull plus more than 70 there since the conflict began. Trackers remain irreconcilable and are reported so: IMF PortWatch 2 crossings on 2 Aug against ITS OWN 73/day baseline (3%), against Lloyd's List's 84/week (about 9% of UKMTO's 138/day). Naming the denominator matters; no average is taken across them.	UKMTO / Lloyd's List Intelligence / IMF PortWatch via straits.live / CENTCOM
THE DEAL CRACKS ON TERMS — AN IRANIAN BILL WOULD CHARGE UP TO 7% OF CARGO VALUE	An Iranian parliamentary committee is reviewing a draft bill to bar vessels of the US, Israel and other states Iran deems hostile from Hormuz and the Gulf, and to impose transit fees of up to 7% of cargo value with fines to 20% for violations , plus denial of transit to states held responsible for damage to Iran until compensation is paid. Originally Fars (Tier 3), carried by NPR and Reuters. It is under expert review and not finalised — but it directly contradicts the 'no tolls or fees for 60 days' term at the centre of the mechanism Axios reported , and CNBC attributed Thursday's crude rally to it. Italy's Tajani had already pressed Araghchi on 5 Aug for navigation 'without the imposition of tariffs', and Trump has publicly refused Iranian fees.	Fars (Tier 3) via NPR / Reuters / CNBC / Italian MFA readout
TRUMP: NO DEAL YET, BLOCKADE STAYS — AND OMAN HAS STILL SAID NOTHING	Trump said in the Oval Office on 6 Aug that a deal has NOT been reached and that the US will maintain its blockade of Iranian ports , adding only that it 'could be soon'. That supersedes Wednesday's 'send it up again' and expires the CNN report of a Gulf official putting a deal by Friday at 50-50. No Omani statement of any kind exists: fm.gov.om's last published statement is dated 27 July . Two contradictions stand. On approval, Axios says Iranian leadership completed it on 4 Aug; AP reports the deal is still awaiting the Supreme Leader . On terms, Axios describes paired 60-day lanes; Gharibabadi describes both legs through Iranian waters, closure of the existing lanes, a two-to-four-month term and a joint coordination centre . Parliament speaker Ghalibaf called Washington's track 'theater diplomacy on loop'. Netanyahu: 'They sent us a draft. We have not agreed to anything.'	Times of Israel / Axios / AP / NPR / CNN / Al Jazeera / Omani MFA (checked directly)
SAUDI ARABIA EXPECTS IMMINENT COORDINATED ATTACKS FROM NORTH AND SOUTH	A senior Saudi official said on 6 Aug that Riyadh expects imminent coordinated attacks by Iraqi militias and the Houthis 'under the supervision of Iran's IRGC' , with intelligence from Saudi, US and other regional sources pointing at energy infrastructure, ports and airports , and drones and missiles observed being moved. This is Tier 1 corroboration of Monday's Reuters exclusive that Araghchi warned Saudi, Turkish and Qatari counterparts and Pakistan's army chief that Iran would strike Gulf energy facilities if Washington attacked Iranian infrastructure. Baghdad moved first: military spokesman Sabah al-Numan said on 6 Aug Iraq had begun implementing a security plan and would 'not allow any attack from inside Iraq targeting any neighboring country' . Separately, Saudi Arabia, Turkey and Pakistan are reported to sign a joint defence pact in Jeddah today.	Reuters / CNN / Times of Israel / Dajlah TV via Iran International / AFP
An eighth session without a Tier 1 strike — but Qeshm is contested and Kumzar is unattributed	No Tier 1 outlet reported a confirmed US, Israeli or Iranian strike on 6–7 Aug . Tasnim and Fars (Tier 3) claimed Iranian forces engaged 'hostile enemy targets' at the entrance to the strait late on 6 Aug after two explosions on Qeshm Island — but Hormozgan deputy governor Ahmad Nafisi said no strike or incident had been reported and that authorities were investigating . Bloomberg headlined it as an Iranian strike and crude rallied on it; CENTCOM issued nothing. The monitor treats the run as contested, not broken . Separately UKMTO reported a tanker hearing two explosions about 10 nm (16 km) south-east of Kumzar, Oman on 6 Aug — correcting yesterday's 9 nm — vessel and crew safe, no attribution; the IRGC has claimed two 'deviant' tankers exploded on an unsafe route, but no source links the two. The Minoan Pioneer remains unresolved : no attribution, no salvage report, the third engineer still missing.	CENTCOM / UKMTO via Arab News and Anadolu / Bloomberg / Tasnim and Fars (Tier 3) / Middle East Eye
Red Sea: the insurance perimeter moved north, and Lebanon hit a six-week high in strikes	The Joint War Committee has expanded the Red Sea listed area roughly 800 km north, so Jeddah and Yanbu calls now attract additional war-risk premium — a direct cost on Saudi Arabia's alternative export route. Lloyd's List records Bab el Mandeb transits stabilising at 266 for 27 Jul–2 Aug against 269, with mainstream tanker traffic down 42% to 53, and Suez broadly flat at 275 but with VLCC traffic quadrupled. Houthi claims on the Saudi tankers Wafa and Daisy remain uncorroborated by any independent tracker and Riyadh has not commented. On 6 Aug Houthi missiles and drones killed at least 58 Yemeni government soldiers in Marib and Hadramawt and wounded 11 civilians in Najran. In Lebanon, UNIFIL recorded 120 Israeli projectiles between midnight and 4pm on 6 Aug, above the 113 of the full day on 5 Aug and the highest since 21 June , with no Hezbollah launches detected.	Lloyd's List Intelligence (Red Sea Brief, 6 Aug) / AFP / Arab News / UNIFIL via Arab News

2 · US economic shock — analysis with bond yields

The shock holds at 27/30 for a fourth session and no channel moved — but unlike Wednesday, the composition moved a great deal, and most of it moved back. Thursday's US session reversed almost everything this monitor reported on Thursday morning. **Brent closed \$80.46 against my \$78.20 snapshot, the widest upside crude gap recorded; the 30Y closed 5.2242% against my 5.1638%, 6.04 bp higher; MOVE closed 76.12 against the 73.58 carried, 2.54 higher.** The consequences are mechanical and they all point the same way. **Stage-4 Threshold B is satisfied again** after two sessions unsatisfied, six days before the 30Y refunding auction. The MOVE leg of the Treasury downgrade, satisfied for the first time in the war on Wednesday, is unsatisfied after one day, and the 30Y leg widened from 16.80 bp to 22.42 bp. The 5Y5Y break that fired the inflation upgrade, 0.67 bp from disappearing on Wednesday, is 3.05 bp clear on Thursday. The oil downgrade anchor moved from \$5.38 to \$7.98 away. Every de-escalation reading in yesterday's edition has been partially unwound by the close beneath it. The cause is not obscure: an Iranian parliamentary committee published terms that contradict the deal's central term, Trump said no deal has been reached and the blockade stays, and Iranian state media claimed a naval engagement at the mouth of the strait. The market spent two sessions pricing a settlement and has spent three taking it back.

2.1 · Bond-yield transmission

7 Aug yields are intraday; the 6 Aug close is confirmed and every trigger runs off it. No channel moved. Score holds at 27/30, a fourth consecutive session.

(i) Treasury — held at 5 (max), and the rotation reported yesterday reversed inside one session. On Wednesday MOVE closed 73.58, satisfying the volatility leg of this channel's downgrade for the first time in the war, and this monitor said the downgrade had rotated rather than approached. It has now rotated back. **MOVE closed 76.12 on Thursday, up 2.54 and above the 75 line again, so the leg is unsatisfied after exactly one session; and the 30Y closed 5.2242%, widening the yield leg from 16.80 bp to 22.42 bp above the 5.00% line.** Both legs now fail and both are further from firing than they were 24 hours ago, which is a cleaner statement than yesterday's and a less comfortable one. The correction to make explicitly: at 76.12 MOVE is **2.74 points ABOVE its 73.38 pre-war anchor**, not 0.20 above it, so the claim published yesterday that rates volatility had fully round-tripped the war does not survive the latest close and is withdrawn. What has not changed is the underlying diagnosis. The long end is not pricing the fiscal arithmetic. Treasury held coupon sizes on 5 August at exactly the 6 May guidance while needing \$68bn more this quarter than it projected in May, funding the gap in bills and buybacks; the market rallied on that for one session and gave it all back on the next. The 30Y is now 61.0 bp above its pre-war anchor and **17.42 bp above the 13 May auction stop of 5.050%**, against 11.80 bp on Wednesday. The auction that tests all of this is on 13 August.

(ii) Oil — held at 2, and the downgrade candidate that had been live for three editions has receded. Brent's 6 August close of \$80.46 is \$2.60 above Wednesday and \$2.26 above the snapshot I published for that session. The close sits **\$14.54 below the \$95 upgrade trigger and \$7.98 above the \$72.48 downgrade anchor.** Yesterday that second figure was \$5.38 and was described as the narrowest of the war since 10 July; it has widened by \$2.60 in one session and that reading no longer stands. The downgrade needs both legs and neither is now close: the price leg has moved away and **the pause leg was explicitly denied by the US President**, who said on Thursday that no deal has been reached and that the blockade of Iranian ports will be maintained. What repriced crude was not supply data but terms: a draft Iranian bill charging up to 7% of cargo value in transit fees, which is the opposite of the no-tolls mechanism the market had been trading, plus a Tier 3 claim of an Iranian naval engagement off Qeshm. The physical balance is unchanged and unhelpful — distillate stocks about 12% below the five-year average, refinery utilisation 96.5%, effective spare capacity ~0.17 mb/d on the IEA's July estimate, September's OPEC+ 188k b/d a quota rather than a cargo, Jizan out to about 15 August on third-party intelligence that Aramco has never confirmed, Abqaiq and Damiyetta unreported since 30 July. At 2/5 this channel remains the only one that can raise the score, and for the first time in a week it is no longer closer to falling than rising.

(iii) Escalation risk — held at 5 (max). The downgrade candidate lost evidence on every axis this session. Yesterday the candidate was stronger in form and weaker in evidence. Today it is weaker in both. On form: **Trump said in the Oval Office that a deal has NOT been reached and that the blockade stays**, which retires the CNN report of a 50-50 chance of agreement by today, and an Iranian parliamentary committee is reviewing a bill that would **bar US and Israeli vessels outright and charge up to 7% of cargo value** — a direct contradiction of the no-tolls term Axios reported four days ago. On evidence: **Oman has still said nothing, and the foreign ministry's own site carries no statement of any kind since 27 July**; AP reports the deal awaiting the Supreme Leader where Axios said approval completed on 4 August; Gharibabadi's account of the route contradicts Axios' paired-lane description and he continues to deny that Iran is negotiating with the United States at all; and parliament speaker Ghalibaf called the American track 'theater diplomacy on loop'. Set against that, a senior Saudi official told Reuters and CNN that Riyadh expects **imminent coordinated attacks from Iraqi militias and the Houthis under IRGC supervision, aimed at energy infrastructure, ports and airports.** On the quiet run this monitor is deliberately conservative in both directions: Iranian state media claimed a naval engagement at the mouth of the strait on Thursday night and **an Iranian provincial official denied it**, so the eighth session is recorded as contested rather than broken, and a Tier 3 claim contradicted by a Tier 1 official does not become an event because Bloomberg wrote a headline about it. The 3 August reference case stands: an announcement is not an event, and neither is a denial.

(iv) US inflation impulse — held at 5 (max), and the tension flagged yesterday resolved in favour of the upgrade. 5Y5Y forward inflation closed 2.3305% on 6 August — an eighth consecutive close above the 2.30% trigger that fired this channel 4→5 on 31 July, and now clear of it by **3.05 bp rather than the 0.67 bp reported yesterday.** The four-session decline from the 2.3597% war record is over; the forward rose 2.38 bp on the session. The 10Y breakeven did the same, closing 2.2481% after rising 3.05 bp, ending the two-close run below the 2.2569% pre-war anchor and finishing within a third of a basis point of it. Yesterday this monitor flagged an open tension — a channel fired on a 2.30% break that was about to disappear, with a documented downgrade sitting 16 bp lower — and said it would report the tension rather than quietly move the line. That was the right call: the break did not disappear, and the downgrade at the 2.142% anchor is now **18.85 bp away**, wider than Wednesday's 16.47 bp. The data underneath continues to argue for the hold. ISM services prices-paid at 70.3 against a 54.1 headline miss, ADP at +44k, and Governor Cook's 'if I do not see signs of continued disinflation soon, I am prepared to act' describe a soft labour tape with a hot price tape. **July payrolls are released at 8:30am ET today, after this snapshot was taken**; the consensus is not agreed, spanning +83k at CNBC, +85k at Kiplinger and a FactSet median of +97.5k on a 65k–130k range, against June's +57k and an expected 4.2% unemployment rate. CPI lands 12 August.

(v) Political stress — held at 5 (max), and the scored series has now printed BELOW its trigger. AUTMUSAG has backfilled 5 August at **\$4.74 — one cent below the \$4.75 line and the first print beneath it since the upgrade fired on 4 August.** Yesterday the series was on the line; today it is under it. This is the same configuration the 5Y5Y presented on Wednesday and it is handled the same way: the

documented downgrade is a sustained retreat toward the \$3.52 pre-war anchor, which is **\$1.22 below the last print**, and hysteresis requires a reversal past a wider threshold than the one that fired the upgrade. The channel does not move on a one-cent undershoot, and it will not move on a second one. But the tension is stated in the open rather than buried: the trigger that fired this channel three days ago has been given back, and the rule that holds it at 5 is the anchor 122 cents lower. Two things qualify the reading. First, **the series has not printed for 6 or 7 August — two dark sessions — so the retreat rests on a single print that is already stale**, and this monitor does not treat a stale low as information. Second, it is independently corroborated: **AAA's own regular-grade national average fell to \$4.0633 on 6 August, down 1.68 cents on the day and 3.48 cents on the week**. The counterweight is diesel and the refining constraint behind it. AAA had on-highway diesel at \$5.3474, still up 0.81 cents on the week and \$1.6072 on the year, EIA distillate stocks fell 3.5 mb in the week to 31 July to about 12% below the five-year average, and **the Joint War Committee has just extended the Red Sea war-risk listed area roughly 800 km north to capture Jeddah and Yanbu**, raising the cost of the route Saudi Arabia is using to bypass Hormuz. Product, not crude, is what reaches the pump.

(vi) Maritime denial — held at 5 (max), and the reopening instrument moved further away, not closer. The strait is closed on day 159. Lloyd's List Intelligence's count of 84 transits in the week to 2 August against 45 the week before remains the most encouraging traffic datum of the war and remains nowhere near the downgrade condition: against UKMT0's 138/day historical baseline that is about 9% of normal, and the condition is traffic above 25% of normal sustained for ten sessions. The denominator has to be named, because IMF PortWatch counted 2 crossings on 2 August against its own 73/day baseline, which is 3% — the trackers are measuring different vessel universes and the monitor reports the spread rather than averaging it. Lloyd's List also records US blockade redirections at 45 vessels with 2 disabled and 2 boarded, where a compilation of CENTCOM's own 5 August statement gives 48; roughly 135 vessels are trapped inside the Gulf; and about a quarter of non-Iranian-linked traffic is now using the Omani coastal route, on which two ships have been struck since 1 August. What matters for the score is the instrument, and the instrument went backwards. **A signed corridor agreement starts the ten-session clock. Trump said on Thursday there is no agreement and the blockade stays; Oman has published nothing since 27 July; and an Iranian parliamentary bill would bar US and Israeli vessels from the waterway altogether.** A draft that would exclude an entire flag category is not a reopening.

2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event. Threshold A's statement leg resolved benignly on 5 August; its auction leg is on 13 August. **Threshold B RE-ARMED on the 6 August close.**

Threshold A · 13 May 30Y auction, cleared 5.050% — the statement passed, the auction is six days away and the gap has widened. Treasury's quarterly refunding statement on 5 August held every nominal coupon size at the level guided on 6 May: 2Y \$69bn, 3Y \$58bn, 5Y \$70bn, 7Y \$44bn, 10Y \$42bn new issue, 20Y \$16bn, 30Y \$25bn new issue, 2Y FRN \$28bn — a \$125bn August package, three days after raising July–September net marketable borrowing to \$739bn from the \$671bn projected on 4 May. The first leg of the sequence that would make this threshold live, a coupon increase, did not happen. The second is dated: 3Y on 11 August, 10Y on 12 August alongside CPI, and the **30Y on 13 August**, all settling 17 August. **The 6 August close of 5.2242% is 17.42 bp above the May stop, against 11.80 bp on Wednesday and 22.24 bp at the 31 July war-widest.** One session reversed nearly half the compression this monitor reported yesterday. A tail on 13 August into a long end 61.0 bp above its pre-war anchor is what re-arms this, and the market is walking into it with the concession going back on rather than coming off.

Threshold B · 30Y above 5.20% with 10Y above 4.65% — SATISFIED AGAIN on the 6 August close. The 6 August close of 5.2242% / 4.6778% clears both legs by 2.42 bp and 2.78 bp, ending a two-close run unsatisfied, and this morning's 5.2199% / 4.6739% holds above both by 1.99 bp and 2.39 bp. The satisfied run that preceded this was 29 July through 3 August, four closes including the 5.2724% and 4.7347% war records of 31 July. Three points follow. First, the threshold has now cycled twice in a fortnight, which is what a market trading headlines rather than fundamentals looks like at the long end. Second, the qualification stands and strengthens: this was never a repair of the fiscal arithmetic, and the last two sessions have simply removed the risk-premium unwind that was disguising it — Treasury still needs \$68bn more this quarter than it said in May. Third, and most important, **the threshold is satisfied going INTO the auction week rather than out of it.** The 30Y refunding leg on 13 August now prices against a curve that has already re-cleared both Stage-4 legs, which is the configuration in which a tail does the most damage.

Threshold C · MOVE above 130 — far off, and the round-trip claim is withdrawn. MOVE closed 76.12 on 6 August, up 2.54 on the session, 53.88 points below the threshold and 38.90 below the 115.02 war high of 26 March. C is not close on any reading and has not been for four months. The observation that matters is the correction. Yesterday this monitor reported that rates volatility had fully round-tripped the war at 73.58, 0.20 points above the 73.38 pre-war anchor. **On the latest close it is 2.74 points above that anchor and back above the 75 downgrade leg, and the round-trip reading is withdrawn.** What survives the correction is the shape of the problem rather than its magnitude: MOVE is 3.7% above pre-war while the 30Y is 61.0 bp, or 13.2%, above pre-war. Volatility has retraced far more of the war than the level of long-end yields has, and that combination still describes a term-premium problem rather than a volatility problem. There is no 7 August print and the number is flagged rather than carried as fresh.

2.3 · Cross-asset

The cross-asset signature is a reversal that the morning print could not see. Thursday's US session moved **Brent \$2.26 above my snapshot, the 30Y 6.04 bp above it, the 10Y 6.71 bp, the 2Y 6.02 bp, the 10Y breakeven 3.17 bp and the 5Y5Y 2.44 bp** — every one in the direction of more risk, not less, and every one against the direction I reported. MOVE printed an actual 76.12 against the 73.58 carried. This is the second time in eight sessions that the snapshot has missed the whole US session in both price and rates at once, and it is the larger of the two on crude. Underneath the reversal, the routing signature reached its most extreme reading of the war. **Henry Hub prints \$2.620 this morning — a new low for the entire conflict, 14.5% BELOW pre-war — on the same morning Brent trades an \$8.45 premium, TTF is 87.0% above pre-war and Asia LNG 96.3% above.** US natural gas is not merely failing to participate in this war; it is at its cheapest point since it began, while the seaborne gas markets that depend on Hormuz routing are near their most expensive. No cleaner statement of a routing shock exists in the data. Two other divergences are worth recording. The Brent–WTI spread has widened three sessions running to \$4.35, and \$5.34 on the actives, so the premium is going back into the waterborne benchmark specifically. And **VIX closed 15.15, the second-lowest reading of the entire war**, against a shock score of 27/30 and a rates-volatility index that rose 2.54 on the same day. Equity markets are pricing the quietest conditions of the conflict; the bond market and this monitor are not.

3 · Shock score

Total: 27/30 — CRISIS band. Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

Channel	Score	Rationale	Triggers
Maritime denial	5/5	Held at 5 (max). Strait closed to commercial traffic, day 159. Lloyd's List Intelligence counted 84 transits in the week to 2 Aug against 45 the week before — about 9% of UKMTO's 138/day baseline; IMF PortWatch counted 2 on 2 Aug against its OWN 73/day baseline, 3%. UKMTO Update 080 (4 Aug) is still the latest advisory and holds Hormuz at SEVERE. Blockade redirections 45 (LLI) or 48 (CENTCOM compilation), unreconciled; ~135 vessels trapped. Trump said 6 Aug there is no deal and the blockade stays; an Iranian bill would bar US and Israeli vessels entirely.	↑ at max. ↓ verified reopening (escorted convoys) with traffic above 25% of normal for 10 sessions → to 3–4. A signed corridor agreement starts that clock. There is no agreement, and the draft on the table excludes a flag category rather than reopening to it.
Oil price shock	2/5	Held at 2 — the only channel that can raise the score. Last confirmed close \$80.46 (6 Aug), \$14.54 below the \$95 trigger and \$7.98 above the \$72.48 anchor — the anchor gap WIDENED \$2.60 in one session from \$5.38. Intraday \$80.93, a third up-session. The close ran \$2.26 ABOVE my snapshot, the widest upside crude gap recorded. Physical balance unchanged: distillate ~12% below the 5-yr average, utilisation 96.5%, spare capacity ~0.17 mb/d, Jizan out to ~15 Aug on unconfirmed third-party intelligence.	↑ Brent above \$95 sustained → to 3. ↓ mediated pause + close at/below the \$72.48 anchor → to 1. Both legs moved AWAY this session: the price leg by \$2.60, and the pause leg was denied outright by the US President.
US inflation impulse	5/5	Held at 5 (max). 5Y5Y closed 2.3305% on 6 Aug, an EIGHTH consecutive close above the 2.30% trigger and now clear by 3.05 bp against Wednesday's 0.67 bp — the four-session decline is over and yesterday's flagged tension resolved in favour of the upgrade. BE10 closed 2.2481%, up 3.05 bp, ending its run below the pre-war anchor. Data underneath unchanged: ISM services prices-paid 70.3 on a 54.1 headline miss, ADP +44k, Governor Cook 'prepared to act'. Payrolls release after this snapshot.	↑ at max. ↓ 5Y5Y sustained at/below the 2.142% pre-war anchor → to 4 (18.85 bp away on the last close, 2.38 bp WIDER than Wednesday).
Treasury stress	5/5	Held at 5 (max). Stage-4 Threshold B RE-ARMED on the 6 Aug close — 30Y 5.2242% and 10Y 4.6778%, both legs clear after two sessions unsatisfied, six days before the 30Y auction. MOVE's break below 75 lasted exactly one session: 76.12 on the 6 Aug close, up 2.54, so the volatility leg is unsatisfied again and the index is 2.74 pts ABOVE pre-war rather than 0.20. The 30Y is 17.42 bp above the 13 May stop, from 11.80 bp.	↑ at max. ↓ 30Y close under 5.00% with MOVE under 75 sustained → to 4. BOTH legs now fail and both widened: the 30Y leg from 16.80 to 22.42 bp, the MOVE leg from satisfied to unsatisfied. The rotation reported yesterday has reversed.
Political stress	5/5	Held at 5 (max), and the scored series has printed BELOW its trigger for the first time. AUTMUSAG BACKFILLED 5 Aug at \$4.74 — one cent under the \$4.75 line that fired the upgrade on 4 Aug. Blank 6 and 7 Aug, two dark sessions, so the retreat rests on a stale print — but it is independently corroborated: AAA's regular-grade average fell to \$4.0633 on 6 Aug, -1.68c d/d and -3.48c w/w. Diesel is the counterweight at \$5.3474, +0.81c w/w, and the JWC has extended Red Sea war-risk cover north over Jeddah and Yanbu.	↑ at max. ↓ sustained retreat toward the \$3.52 pre-war level → to 4 then 3. \$1.22 above the anchor. A one-cent undershoot of the upgrade trigger is not the documented downgrade; the tension is flagged, not resolved.
Escalation risk	5/5	Held at 5 (max). The downgrade candidate lost evidence on every axis. Trump said 6 Aug no deal has been reached and the blockade stays; an Iranian parliamentary bill would charge up to 7% of cargo value, contradicting the no-tolls term; Oman has published nothing since 27 July; AP contradicts Axios on Supreme Leader approval; Gharibabadi contradicts Axios on the route and denies any US-Iran negotiation; Ghalibaf calls it 'theater diplomacy on loop'. A senior Saudi official expects imminent coordinated attacks on Gulf energy infrastructure.	↑ at max. ↓ mediated stand-down + talks resume → to 4–3. Requires a signed or published instrument, mediator confirmation, and a sustained window with no vessel casualties. All three moved further away this session.
TOTAL	27/30	CRISIS band — HELD, fourth consecutive session. No channel moved. Five of six channels are maxed and only oil, at 2/5, can raise this number. The composition changes worth recording: Stage-4 Threshold B re-armed on the 6 Aug close , six days before the 30Y auction; the Treasury downgrade rotation reported yesterday reversed inside a session; the 5Y5Y tension resolved in favour of the upgrade; and the oil downgrade anchor moved \$2.60 further away. Every de-escalation reading published yesterday was partially unwound by the close beneath it.	

4 · What's changed since the last edition (6 Aug AM → 7 Aug AM)

Score holds at 27/30 for a fourth session; no channel moved. Threshold B re-arms. MOVE's sub-75 break lasts one day. An Iranian bill would charge 7% of cargo value. Trump says there is no deal. Source: Bloomberg unless stated.

The snapshot missed the widest upside crude session and most of a 6 bp long-end selloff. Brent closed \$80.46 on 6 August against the \$78.20 published from the Singapore morning — a \$2.26 gap, the widest upside crude reconciliation this monitor has recorded, exceeding the +\$1.97 of 31 July. The curve closed 6.02 to 6.71 bp above the snapshot across 2Y, 10Y and 30Y, and MOVE printed an actual 76.12 against the 73.58 carried. Every directional reading in yesterday's edition about a rallying long end and a falling volatility index was reversed by the close. Source: Bloomberg.

Stage-4 Threshold B RE-ARMED — six days before the 30Y refunding auction. The 6 August close of 5.2242% on the 30Y and 4.6778% on the 10Y clears both legs by 2.42 bp and 2.78 bp, ending a two-close run unsatisfied and restoring the condition that held from 29 July to 3 August. This morning's 5.2199% / 4.6739% keeps it satisfied. The threshold has now cycled twice in a fortnight. It is satisfied going INTO auction week — 3Y on 11 August, 10Y on 12 August alongside CPI, 30Y on 13 August — with the 30Y 17.42 bp above the 13 May stop of 5.050%, against 11.80 bp on Wednesday. Source: Bloomberg; US Treasury sb0590.

MOVE's break below 75 lasted exactly one session, and the round-trip claim is withdrawn. MOVE closed 76.12 on 6 August, up 2.54, back above the 75 line that forms the second leg of the Treasury downgrade. The leg satisfied for the first time in the war on Wednesday is unsatisfied on Thursday. At 76.12 the index is 2.74 points ABOVE its 73.38 pre-war anchor, not 0.20 above it, so yesterday's statement that rates volatility had fully round-tripped the conflict does not survive the latest close and is withdrawn. The 30Y leg widened in the same session from 16.80 bp to 22.42 bp: both legs now fail and both are further away. Source: Bloomberg.

An Iranian parliamentary bill would bar US and Israeli vessels and charge up to 7% of cargo value. A parliamentary committee is reviewing a draft bill to prohibit vessels of the US, Israel and other states Iran deems hostile from Hormuz and the Gulf, prohibit military and civilian cargo linked to Israel, deny transit to states held responsible for damage to Iran until compensation is paid, and impose transit fees of up to 7% of cargo value with fines to 20% for violations. It is under expert review and not finalised. It directly contradicts the 'no tolls or fees for 60 days' term at the centre of the mechanism Axios reported on 5 August, and CNBC attributed Thursday's crude rally to it. Origin Fars (Tier 3), carried by NPR and Reuters.

Trump said no deal has been reached and the blockade stays. Speaking in the Oval Office on 6 August the President said a deal has not yet been reached with Iran to reopen Hormuz, that it 'could be soon', and that the US will maintain its blockade of Iranian ports in the meantime. That supersedes Wednesday's 'we may have to send it up again' and retires the CNN report of a senior Gulf official putting the odds of a deal by Friday at 50-50. Netanyahu, separately, on the draft: 'They sent us a draft. We have not agreed to anything.' Source: Times of Israel liveblog, 6 August.

Two fresh contradictions in the corridor account, and Oman is still silent. On approval: Axios reported Iranian leadership completed its process on 4 August; AP reports the finalised deal is still awaiting the Supreme Leader. On terms: Axios describes paired 60-day lanes, inbound through Iranian and outbound through Omani waters; Gharibabadi describes both legs largely through Iranian territorial waters, closure of the existing temporary lanes, a two-to-four-month term and a joint Iran-Oman coordination centre, while continuing to deny that Iran is negotiating with the United States. Oman's foreign ministry has published no statement of any kind since 27 July, verified directly against fm.gov.om. Parliament speaker Ghalibaf called the American track 'theater diplomacy on loop'. Source: Axios, AP, NPR, Al Jazeera, Omani MFA.

Saudi Arabia says it expects imminent coordinated attacks from north and south. A senior Saudi official told Reuters and CNN on 6 August that Riyadh expects imminent coordinated attacks by Iraqi militias and the Houthis 'under the supervision of Iran's IRGC', with intelligence from Saudi, US and other regional sources indicating energy infrastructure, ports and airports could be targeted, and drones and missiles observed being moved. This is Tier 1 corroboration of Monday's Reuters exclusive on Iran's warning to Gulf capitals. Iraq moved first: military spokesman Sabah al-Numan said Baghdad had begun implementing a security plan and would 'not allow any attack from inside Iraq targeting any neighboring country', ahead of the Tier 3 7 August militia deadline. Separately Saudi Arabia, Turkey and Pakistan are reported by AFP to sign a joint defence pact in Jeddah today.

An eighth session with no Tier 1 strike — but Iranian state media claimed one and an Iranian official denied it. Tasnim and Fars claimed on the night of 6 August that Iranian forces engaged 'hostile enemy targets' at the entrance to the strait after two explosions on Qeshm Island. Hormozgan deputy governor Ahmad Nafisi said no strike or incident had been reported and that authorities were investigating. Bloomberg headlined it as an Iranian strike and crude rallied; CENTCOM issued nothing and its last combat release remains 29 July. The monitor records the run as contested rather than broken. Sources: Tasnim and Fars (Tier 3), Bloomberg, Middle East Eye.

The Washington Post reported that munitions shortages were part of why the strike package was pulled. Trump confronted Defense Secretary Hegseth at Camp David over not having been told about extreme munitions shortages, and one source said the shortages were part of the reason he pulled back from launching additional massive strikes on Iran. On 6 August he ordered new investigations into the leaks; the White House says the US has enough munitions for any operation. If accurate this reframes the eight-session pause as partly capacity-driven rather than diplomacy-driven, which cuts the probability of an imminent US strike and does nothing for the durability of the pause. Single-outlet and reported as such. Source: Washington Post, 5 August.

Lebanon reached its heaviest day of Israeli fire since 21 June, and the Houthis had their deadliest day since 2022. UNIFIL recorded 120 Israeli projectiles between midnight and 4pm on 6 August, surpassing the full-day total of 113 on 5 August and the highest since 21 June, with no Hezbollah launches detected in either period; two Israeli reservists were killed by an IED on 5 August. In Yemen, Houthi missiles and drones killed at least 58 government soldiers in Marib and Hadramawt, and 11 civilians were wounded in Najran. The Joint War Committee has extended the Red Sea war-risk listed area roughly 800 km north, so Jeddah and Yanbu calls now carry additional premium. Source: UNIFIL via Arab News, AP, AFP, Lloyd's List Intelligence.

5 · Scenario map · next 7 to 30 days

Scenario	P	Description	Market path
Deal collapse — talks stall on terms	33%	Sharply higher and now the modal path for the first time in this monitor . The failure condition stopped being about trust and became about terms. An Iranian parliamentary bill would charge up to 7% of cargo value and bar US and Israeli vessels outright, against a mechanism whose central term was no tolls for 60 days; Trump says no deal has been reached and the blockade stays; Oman has published nothing since 27 July; AP and Axios contradict each other on Supreme Leader approval and Gharibabadi and Axios contradict each other on the route itself.	Brent \$88–105; oil back toward 3; Threshold B holds satisfied; score 28.
Return to full war	28%	Lower for a third session and no longer modal. Eight sessions without a Tier 1 confirmed strike; CENTCOM's last combat release is 29 Jul; and the Washington Post reports munitions shortages were part of why the strike package was pulled, which is a capacity constraint rather than a choice. Against that, Iranian state media claimed a naval engagement at the mouth of the strait on Thursday night, and a senior Saudi official expects imminent coordinated militia and Houthi attacks under IRGC supervision.	Brent \$105–140; MOVE above 90; oil to 3–4; score 28–29 (only oil can rise).
Contained but violent — blockaded stalemate	16%	Higher. This is where the evidence actually sits: strait shut on day 159 at UKMTO threat level SEVERE, a tanker reporting explosions off Kumzar with no attribution, the Minoan Pioneer unresolved, the JWC extending Red Sea war-risk cover 800 km north over Jeddah and Yanbu, Lebanon at its heaviest day of Israeli fire since 21 Jun, and the Houthis' deadliest day against Yemeni government forces since 2022 — with the score pinned at 27 regardless because five of six channels are maxed.	Brent \$75–90; MOVE 72–82; risk premium \$3–12/bbl; score holds 27.
Mediated pause — the strait reopens	12%	Sharply lower. The 50-50-by-Friday call did not survive contact with the President, who said on Thursday that no deal has been reached. What remains is coordinates neither party has published, a joint statement in drafting, a mediator that has said nothing in eleven days, and a legislature drafting a fee regime that contradicts the deal's core term. A signed instrument would still start the ten-session maritime clock and supply the mediated-pause leg the oil downgrade needs — but that price leg also widened \$2.60 this session, to \$7.98.	Brent \$70–80; MOVE under 75; maritime→3–4 on verified traffic, oil→1, escalation→4; score falls toward 21–23.
Regional relapse — Gulf energy infrastructure hit	11%	Unchanged in probability, and the evidence base moved from Iranian threat to Saudi expectation. A senior Saudi official now says Riyadh anticipates imminent coordinated attacks from Iraqi militias and the Houthis under IRGC supervision, aimed at energy infrastructure, ports and airports, with drones and missiles observed moving. That is Tier 1 corroboration of Monday's Reuters report — but the path remains conditional on a US strike whose near-term probability fell again. Exposure unchanged: Jizan out to ~15 Aug, Abqaiq and Damiyetta unreported, spare capacity ~0.17 mb/d, and a 7 Aug Iraqi deadline that is Tier 3 and that Baghdad has pre-empted.	Brent \$150+; emergency policy response; HY spreads above 500 bp; score 29–30.

Probability shifts from the 6 Aug edition: deal collapse +5 (28→33), the largest single move, on an Iranian fee bill that contradicts the deal's central term and a presidential statement that no deal exists; mediated pause –4 (16→12), giving back most of the two sessions of gains, as the 50-50-by-Friday call expired; full war –2 (30→28) on an eighth session without a Tier 1 strike and the Washington Post's report that munitions shortages contributed to the package being pulled; contained-but-violent +1 (15→16); regional relapse unchanged at 11%, because Saudi Arabia's expectation of imminent coordinated attacks raises the evidentiary weight of that path while leaving it conditional on a US strike that became less likely. Probabilities sum to 100. **The material change is the ordering: for the first time in this monitor the modal path is not a return to full war but a negotiation that fails on its terms.** Note what that does NOT mean — deal collapse is the path in which Brent trades \$88 to \$105 and Threshold B stays satisfied into an auction, not a benign outcome.

6 · Watchlist · next 24 to 72 hours

July payrolls at 8:30am ET today — released AFTER this snapshot was taken. This is the one case where the Singapore-AM cut is a disadvantage rather than an advantage: the print lands hours after this edition closes and the reaction will not appear until Monday's row. The consensus is not agreed and that is itself the signal — +83k at CNBC, +85k at Kiplinger, a FactSet median of +97.5k on a 65k–130k range, against June's +57k and an expected 4.2% unemployment rate. ADP printed +44k and ISM services employment fell the most since March, while ISM prices paid jumped to 70.3. A weak print with hot prices is the configuration that most complicates September, and 5Y5Y at 2.3305% says forward compensation has not conceded. CPI lands 12 August.

The 30Y refunding leg on Thursday 13 August, now with Threshold B satisfied going in. Treasury held coupon sizes on 5 August so the supply shock did not arrive through the announcement. It can still arrive through demand, and the setup deteriorated this session. The 3Y auctions 11 August at \$58bn, the 10Y 12 August at \$42bn alongside CPI, and the 30Y 13 August at \$25bn, all settling 17 August — into a long end 61.0 bp above its pre-war anchor and 17.42 bp above the 13 May stop of 5.050%, against 11.80 bp on Wednesday. Threshold B is

satisfied on the last close rather than lapsed, and MOVE is back above 75. A tail on 13 August now lands on a curve that has already re-cleared both Stage-4 legs.

Whether the Iranian fee bill advances — and whether Oman ever says anything. The bill is the concrete failure condition the corridor talks lacked. It is under expert review, originated with Fars at Tier 3, and is carried by NPR and Reuters; what matters is whether it clears committee, what fee number survives, and whether the government distances itself from it. Set against it: no published joint statement, no published coordinates, no Omani statement of any kind since 27 July, an AP–Axios contradiction on Supreme Leader approval and a Gharibabadi–Axios contradiction on the route. An announcement does not move a channel; a signed and published instrument with a mediator's name on it would move two.

AUTMUSAG's next print, now that the scored series has gone BELOW its trigger. The series backfilled 5 August at \$4.74, a cent under the \$4.75 line that fired the upgrade on 4 August, and is blank for 6 and 7 August. Two dark sessions mean the reading rests on one stale print, and this monitor does not treat a stale low as information — but it is independently corroborated by AAA's own regular-grade average falling to \$4.0633 on 6 August, down 3.48 cents on the week. What would matter is a second print materially below \$4.75; what argues against it is diesel at \$5.3474, still up on the week and the year, distillate stocks about 12% below the five-year average, and the JWC extending Red Sea war-risk cover over Jeddah and Yanbu.

Saudi Arabia's expectation of imminent attacks, the Tier 3 Iraqi deadline that falls today, and the Jeddah pact. A senior Saudi official expects coordinated Iraqi-militia and Houthi attacks under IRGC supervision on energy infrastructure, ports and airports. The Islamic Resistance in Iraq deadline to Baghdad expires today; it originated with Press TV on 29 July, has Tier 3 corroboration only, and Baghdad has pre-empted it with a security plan and an explicit warning under the anti-terrorism law. Saudi Arabia, Turkey and Pakistan are reported by AFP to sign a joint defence pact in Jeddah today — with Pakistan simultaneously mediating between Washington and Tehran. Watch Najran, Jizan and the Iraqi border rather than the strait.

Data hygiene: five series dark or stale, and one prior-edition figure superseded. JGLA backfilled 6 August at ¥3,276 and has no 7 August print; AUTMUSAG backfilled 5 August at \$4.74 and is blank for 6 and 7 August; SOFR backfilled 5 August at 3.64 — two basis points BELOW the 3.66 reported yesterday as the 4 August print — and is blank for 6 and 7 August; MOVE and VIX printed for 6 August but not 7 August. Aramco has still issued no statement on Jizan and the ~15 August restart remains third-party intelligence; Abqaiq and Damietta remain unreported since 30 July.

7 · Source log · this edition

Tier 1 — primary market data. Bloomberg Terminal extract (US Iran BBG Data.xlsx, 156 data rows × 99 columns, restated front-month continuation series). Tickers: CO2/CL2 Comdty (front-month; last confirmed close \$80.46 / \$76.16 on 6 Aug, intraday \$80.93 / \$76.58 with a Brent high of 81.50 and low of 80.85); COA/CLA Comdty (active, unscored — \$83.16 / \$77.82); NGA (**\$2.620 intraday, a NEW LOW FOR THE WAR**), TZTA (€58.400 intraday after a 6 Aug close of €55.769, a third consecutive advance) and JGLA (**6 Aug BACKFILLED at ¥3,276**, the lowest since 16 Jul; no 7 Aug print, flagged not carried); USGG2YR/5YR/10YR/20YR/30YR (**the 30Y closed 5.2242% on 6 Aug and the 10Y 4.6778%, both back above their Stage-4 legs, re-arming Threshold B**; 5.2199% / 4.6739% intraday); USYC2Y10 (+42.614 close, +42.451 intraday); USGGBE10 (2.2481 close, up 3.05 bp and back within a third of a basis point of the 2.2569 pre-war anchor; 2.2511 intraday); USGG5Y5Y (2.3305 close, an eighth consecutive close above the 2.30% trigger and now clear by 3.05 bp; 2.3337 intraday); SOFRRATE (**5 Aug BACKFILLED at 3.64**, two basis points below the 3.66 reported yesterday; blank 6 and 7 Aug, flagged not carried); **MOVE (76.12 on the 6 Aug close, +2.54, back ABOVE the 75 Treasury-downgrade leg after exactly one session below it; no 7 Aug print)** and VIX (15.15, -0.66, **the second-lowest close of the entire war**; no 7 Aug print); DXY (99.930 close, a second consecutive advance, 99.990 intraday); AUTMUSAG (AAA all-grades pump — score reference; **5 Aug BACKFILLED at \$4.74, the first print BELOW the \$4.75 trigger since the upgrade fired**; blank 6 and 7 Aug) and USFRUSA (DOE regular spot, weekly — corroboration; \$4.079 for the week to 3 Aug, no new release until 11 Aug). **Data-integrity note:** the stale-row check clears decisively. The 6 Aug row has refreshed and differs materially from the intraday values published for it on every field (Brent \$80.46 against \$78.20; the 30Y 5.2242% against 5.1638%; MOVE an actual 76.12 against a carried 73.58), so it is a true close and every trigger test in this edition runs off it. Two series backfilled in this extract: JGLA for 6 Aug and SOFRRATE for 5 Aug. AUTMUSAG did NOT backfill for 6 Aug and is now dark for two sessions. The 27 Feb 2026 anchor was re-verified field by field and is unchanged.

Tier 1 — news and institutional. Times of Israel liveblog (Trump in the Oval Office, 6 Aug: a deal has not yet been reached to reopen Hormuz, it 'could be soon', and the US will maintain its blockade of Iranian ports in the meantime; and Netanyahu on the draft, 'They sent us a draft. We have not agreed to anything'). **NPR and Reuters carrying Fars (Tier 3 origin)** (an Iranian parliamentary committee reviewing a draft bill to bar vessels of the US, Israel and other states Iran deems hostile from Hormuz and the Gulf, prohibit cargo linked to Israel, deny transit to states held responsible for damage to Iran until compensation is paid, and impose transit fees of up to 7% of cargo value with fines to 20%; under expert review, not finalised). **CNBC** (7 Aug: attributing the crude rally to the Iranian draft plan for the strait). **AP** (Iranian and Omani negotiators saying the finalised deal is still awaiting approval from Supreme Leader Mojtaba Khamenei — contradicting Axios' report that Iranian leadership completed approval on 4 Aug). **NPR** (Gharibabadi describing entry and exit largely through Iranian territorial waters with some parts through Oman's, closure of the existing temporary lanes, a two-to-four-month term and a joint coordination centre — contradicting Axios' paired-lane description; and his continued denial that Iran is negotiating with the United States). **Omani Ministry of Foreign Affairs** (checked directly: the most recent published statement of any kind is dated 27 July; nothing on the corridor). **Al Jazeera and Times of Israel** (Ghalibaf on 6 Aug calling Washington's approach 'theater diplomacy on loop'). **Reuters and CNN** (6 Aug: a senior Saudi official saying Riyadh expects imminent coordinated attacks from Iraqi militias and the Houthis under IRGC supervision, with intelligence pointing at energy infrastructure, ports and airports, and drones and missiles observed being moved; Saudi-US and CENTCOM cooperation described as very high). **Washington Post** (5 Aug: Trump confronting Defense Secretary Hegseth at Camp David over munitions shortages, with one source saying the shortages were part of the reason he pulled back from additional strikes on Iran; single-outlet and reported as such). **UKMTO via Arab News and Anadolu** (a tanker hearing two explosions about 10 nm / 16 km south-east of Kumzar, Oman on 6 Aug, vessel and crew safe, no attribution — correcting the 9 nm reported yesterday). **Lloyd's List Intelligence** (Strait of Hormuz Brief of 5 Aug: 84 transits 27 Jul–2 Aug against 45, 52 non-Iranian-linked against 28, about a quarter of non-Iranian-linked traffic on the Omani coastal route with two ships struck since 1 Aug, blockade redirections 45 with 2 disabled and 2 boarded, 65 vessels trapped after entering during the lull plus more than 70 there since the conflict began; and the Red Sea Brief of 6 Aug: Bab el Mandeb 266 transits 27 Jul–2 Aug against 269, mainstream tanker traffic down 42% to 53, Suez 275 against 273 with VLCC traffic quadrupled, and **the Joint War Committee expanding**

the Red Sea listed area roughly 800 km north so that Jeddah and Yanbu calls attract additional war-risk premium). IMF PortWatch via straits.live (2 crossings on 2 Aug against ITS OWN 73/day baseline). CENTCOM (no combat release since 29 Jul; the 5 Aug change-of-command release remains the latest). AAA (regular-grade national average \$4.0633 and diesel \$5.3474 on 6 Aug, against \$4.0801 / \$5.3622 on 5 Aug, \$4.0981 / \$5.3393 a week earlier and \$3.7968 / \$4.7562 a month earlier; all-time records \$5.0165 and \$5.8159, both June 2022). EIA (Weekly Petroleum Status Report of 5 Aug for the week to 31 Jul: crude 407.0 mb +2.5, gasoline 209.7 mb, distillate 107.2 mb and ~12% below the five-year average, refinery utilisation 96.5%, SPR 304.8 mb; and the retail update for the week to 3 Aug — regular \$4.079, on-highway diesel \$5.348, next release 11 Aug). US Treasury (sb0590: 3Y \$58bn on 11 Aug, 10Y \$42bn on 12 Aug, 30Y \$25bn on 13 Aug, all settling 17 Aug). BLS (July Employment Situation released 8:30am ET on 7 Aug, after this snapshot; June was +57k with unemployment 4.2%). CNBC, Kiplinger and FactSet (payroll consensus of +83k, +85k and a +97.5k median on a 65k–130k range; unemployment 4.2% expected). ADP (+44,000 private jobs in July), ISM (services 54.1 with prices paid 70.3), Federal Reserve (Governor Cook, 5 Aug, 'If I do not see signs of continued disinflation soon, I am prepared to act'; the 29 Jul hold at 3.50–3.75%, 9–3 with three dissents for a hike; Chair Kevin Warsh). OPEC (the 2 Aug decision to add 188k b/d for September). IEA (Oil Market Report of 10 July: effective spare capacity ~0.17 mb/d; the August report is not yet published). Reuters citing IIR (Jizan targeted to restart about 15 August — third-party intelligence, never confirmed by Aramco). AFP (Saudi Arabia, Turkey and Pakistan to sign a joint defence pact in Jeddah on 7 Aug). UNIFIL via Arab News (120 Israeli projectiles between midnight and 4pm on 6 Aug against 113 for the full day on 5 Aug, the highest since 21 June, with no Hezbollah launches detected). AP (two Israeli reservists killed by an IED in southern Lebanon on 5 Aug). AFP via Times of Israel (at least 58 Yemeni government soldiers killed by Houthi missiles and drones in Marib and Hadramawt on 6 Aug) and Arab News (11 civilians wounded in Najran). Italian MFA (Tajani–Araghchi call of 5 Aug pressing for navigation 'without the imposition of tariffs or other restrictions').

Tier 3 — state media and combatant claims (labelled). Tasnim and Fars claimed that two explosions on Qeshm Island late on 6 Aug were Iranian forces confronting 'hostile enemy targets' at the entrance to the strait, with 'achievements' to be announced; Hormozgan deputy governor Ahmad Nafisi, an Iranian official, said no strike or incident had been reported and that authorities were investigating. Bloomberg relayed the claim at Tier 1 in a headline; no CENTCOM release, damage assessment or independent attribution exists, and the monitor records the quiet run as contested rather than broken. The IRGC separately claimed two 'deviant' tankers exploded after using an unsafe route; no source links that claim to the Kumzar incident and the linkage is NOT used. Houthi claims of missile attacks on the Saudi tankers Wafa and Daisy remain combatant claims: **no independent tracker has verified either, no UKMTO advisory corroborates them, and Saudi Arabia has not commented** — only the Encelia of 22 Jul ever drew outside confirmation. The 7 August Islamic Resistance in Iraq deadline originated with Press TV on 29 July, has Tier 3 corroboration only, and no Tier 1 outlet independently confirms the date.

Corrections and re-verifications this edition: (i) the claim published yesterday that MOVE had **fully round-tripped the war** at 0.20 points above its pre-war anchor is **withdrawn** — the 6 August close of 76.12 is 2.74 points above it and back above the 75 downgrade leg; (ii) yesterday's statement that the Brent downgrade anchor was \$5.38 away and the narrowest of the war is superseded — the 6 August close of \$80.46 puts it \$7.98 away; (iii) the September hike probability of about 56% attributed to 5 August is **mis-dated**: the hard-sourced readings are CME FedWatch 55.9% and Kalshi 54%, **both dated 29 July**, and no verified 6–7 August reading could be obtained direct from CME Group; (iv) the war-risk figures carried from straits.live — cover near 30 times pre-crisis, a VLCC premium around \$10m a voyage, and six P&I clubs withdrawn — are **retracted as fact and reported as contested**: Lloyd's List has published an explicit rebuttal that P&I clubs have not cancelled war-risk cover, and published trade-press premium ranges of \$220k–\$1.1m and \$1.5m–\$4.5m sit an order of magnitude below the \$10m blog estimate; (v) the Kumzar explosions were about **10 nm / 16 km** south-east, not 9 nm; (vi) the Minoan Pioneer was struck at about 22:00 UTC on **3 August roughly 20 nm north-east of Khasab** — 4 August was the reporting date — and attribution, salvage and the fate of the missing third engineer remain unresolved, with OSINT attributions to Iran explicitly NOT used; (vii) the SPR draw for the week to 31 July is reported as **2.8 to 3.0 mb** against the 3.0 mb carried, the sources disagreeing on the change while agreeing on the 304.8 mb level; (viii) blockade redirections are **45 (Lloyd's List) or 48 (a compilation of CENTCOM's 5 August statement)**, superseding the 44-as-of-3-August figure and reported unreconciled; and (ix) straits.live's '2 vessels against a typical 73' uses **IMF PortWatch's own 73/day baseline**, not UKMTO's 138/day — the denominator is now named wherever a percentage of normal is quoted.

8 · On-demand update protocol

#	Step	Detail
1	Refresh the Bloomberg extract	Parse the latest dated row (7 Aug, Friday) as intraday; re-map columns via the robust scan (front-month CO2/CL2; DXY resolves as DXY Index). The stale-row integrity check CLEARS decisively: the 6 Aug row has refreshed with true closes that differ materially from the intraday values published for it on every field — Brent \$80.46 against \$78.20, the 30Y 5.2242% against 5.1638%, MOVE an actual 76.12 against a carried 73.58. Two series BACKFILLED: JGLA for 6 Aug at ¥3,276 and SOFRRATE for 5 Aug at 3.64. AUTMUSAG did NOT backfill and is dark for two sessions. Currently dark and flagged, not carried: JGLA, AUTMUSAG, SOFRRATE, MOVE and VIX all have no 7 Aug print.
2	Recompute deltas	d/d vs the 6 Aug close; w/w vs the close five trading sessions back (31 Jul this edition); vs-pre-war against the 27 Feb 2026 anchor, re-verified field by field and unchanged.
3	Re-evaluate the six channels	Market channels move on confirmed closes only. No channel moved; the score holds at 27/30 for a fourth session. Oil held at 2 (last close \$80.46, \$14.54 below \$95 and \$7.98 above the \$72.48 anchor, \$2.60 wider than yesterday ; the pause leg was denied by the President). US inflation held at 5 (5Y5Y closed 2.3305%, an eighth consecutive close above 2.30% and clear by 3.05 bp; yesterday's flagged tension resolved in favour of the upgrade). Treasury held at 5 — the MOVE leg is UNSATISFIED again after one session and the 30Y leg widened to 22.42 bp; Stage-4 Threshold B RE-ARMED. Political held at 5 although the scored series printed \$4.74, a cent BELOW its upgrade trigger — the documented downgrade is the \$3.52 anchor, \$1.22 lower, and the tension is flagged rather than acted on. Maritime and escalation are event-based and both maxed.
4	Reconcile against the prior edition	Thursday's US session produced the widest upside crude gap the monitor has recorded and the second widest long-end gap. My 6 Aug intraday Brent \$78.20 versus the \$80.46 close (+\$2.26 , exceeding the +\$1.97 of 31 Jul); WTI \$74.45 vs \$76.16 (+\$1.71); COA \$79.93 vs \$82.49 (+\$2.56); CLA \$75.64 vs \$77.29 (+\$1.65); Henry Hub \$2.672 vs \$2.640 (–\$0.032); TTF €53.850 vs €55.769 (+€1.919); 30Y 5.1638% vs 5.2242% (+6.04 bp) ; 10Y 4.6107% vs 4.6778% (+6.71 bp); 2Y 4.1852% vs 4.2454% (+6.02 bp); 2s10s +42.34 vs +42.614 (+0.27 bp); BE10 2.2164% vs 2.2481% (+3.17 bp); 5Y5Y 2.3061% vs 2.3305% (+2.44 bp); DXY 99.670 vs 99.930 (+0.260); MOVE a carried 73.58 vs an actual 76.12 (+2.54) ; VIX a carried 15.81 vs an actual 15.15 (–0.66).
5	Update scenarios and watchlist	Re-rank catalysts: July payrolls at 8:30am ET today, AFTER this snapshot; the 30Y refunding leg on 13 Aug with Threshold B now satisfied going in; whether the Iranian fee bill advances and whether Oman ever speaks; AUTMUSAG's next print after a \$4.74 backfill below the trigger; Saudi Arabia's expectation of imminent coordinated attacks, the Tier 3 Iraqi deadline falling today, and the Jeddah defence pact. Deal collapse 28→33 and now modal for the first time , full war 30→28, mediated pause 16→12, contained-but-violent 15→16, regional relapse unchanged at 11.

9 · Methodology

Shock-score scale. Six transmission channels (maritime denial, oil, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. Market channels move only on a confirmed close through a trigger; escalation-risk and maritime denial are event-based. Hysteresis: upgrades fire on a sustained break, downgrades only on a sustained reversal past a wider threshold, deliberately, to avoid whipsawing. **This edition is the clearest vindication of that rule the monitor has produced.** Yesterday one leg of the Treasury downgrade was satisfied for the first time in the war and the 5Y5Y break that fired the inflation upgrade was 0.67 bp from vanishing. Had either channel been moved on that session, both moves would have been wrong within 24 hours: MOVE is back above 75 and the 5Y5Y is 3.05 bp clear. The same discipline now applies in the other direction and against the monitor's own instinct — political stress holds at 5 although AUTMUSAG has printed \$4.74, a cent BELOW the trigger that fired it, because the documented downgrade is the \$3.52 anchor 122 cents lower and because the print is two sessions stale. The 25–26 June whipsaw and the 3 August announcement that never became an event remain the reference cases.

Scale cap — binding on five of six channels. Maritime and escalation have been pinned at 5/5 since 10 and 9 July, Treasury since 14 July, US inflation since 31 July and political stress since 4 August. **Only oil, at 2/5, retains any upward range** — three points in a thirty-point scale. This session the cap hid a genuine deterioration: an Iranian legislature drafting a fee regime that contradicts the deal on the table, a President stating there is no deal and that the blockade stays, a mediator silent for eleven days, Saudi Arabia expecting imminent coordinated attacks on Gulf energy infrastructure, Lebanon at its heaviest day of Israeli fire in six weeks, the deadliest Houthi strike on Yemeni government forces since 2022, and Stage-4 Threshold B re-arming six days before a 30Y auction — and the score did not move a point, because five channels have nowhere to go and the sixth is oil. **A flat 27 across four sessions is a saturated scale, not a stable situation**, and readers should read the composition and the Stage-4 tests rather than the number.

Data integrity this edition. The stale-row check clears decisively: the extract's 6 August row refreshed and its closes differ materially from the intraday values published for it on every field (Brent \$80.46 against \$78.20, the 30Y 5.2242% against 5.1638%, MOVE an actual 76.12 against a carried 73.58), so 6 August is a confirmed close and every trigger test runs off it. The two-way side of the check also reports: **JGLA has BACKFILLED for 6 August at ¥3,276 and SOFRRATE for 5 August at 3.64** — the latter two basis points below the 3.66 reported yesterday for 4 August — while **AUTMUSAG did NOT backfill and is now dark for two consecutive sessions**, which is why this edition treats its \$4.74 print as stale rather than as a trend. Currently dark and flagged rather than carried: JGLA, AUTMUSAG, SOFRRATE, MOVE and VIX all have no 7 August print. Where third-party sources disagree the disagreement is reported rather than resolved by preference, and this edition tightens that discipline in two places. Transit counts are now always quoted with their denominator — Lloyd's List 84 in the week to 2 August is about 9% of UKMTO's 138/day baseline, while IMF PortWatch's 2 crossings on 2 August is 3% of PortWatch's OWN 73/day baseline, and the two are not comparable. And the war-risk figures carried from straits.live are retracted as fact: Lloyd's List has published a rebuttal of the claim that P&I clubs cancelled war-risk cover, and published trade-press VLCC premium ranges sit an order of magnitude below the \$10m estimate. The Bloomberg extract governs for every scored series; no price, yield or spread in this document comes from a news source.

Gasoline series. Political stress is scored on AUTMUSAG (AAA all-grades retail pump; pre-war \$3.52, peak \$5.18, latest confirmed print **\$4.74 on 5 August** — backfilled in this extract, one cent BELOW the \$4.75 trigger and the first print beneath it since the upgrade fired on 4 August, with 6 and 7 August blank). USRFRUSA (DOE regular spot; pre-war ~\$2.94, peak \$4.50, latest \$4.079 for the week to 3 August, no new release until 11 August) is tracked alongside as corroboration only. Neither series is re-based. The basis note matters: AUTMUSAG is an ALL-GRADES series and AAA's own published national average is REGULAR-grade, which printed \$4.0633 on 6 August. The gap is structural and runs the whole history of this monitor — the same gap exists at the pre-war anchor, \$3.52 against ~\$2.94 — so a reader comparing the scored \$4.74 with a press report of \$4.06 is comparing different series, not finding an error. The trigger, the anchor and the full history are all set on AUTMUSAG and re-basing would invalidate them. The corroborating direction now matters more than usual because the scored series has gone dark: AAA's regular-grade average fell 1.68 cents on the day and 3.48 cents on the week to 6 August, so the retreat is real even though the scored print is stale. Diesel is reported separately because the binding constraint on the pump is refining rather than crude: AAA had on-highway diesel at \$5.3474 on 6 August, still up 0.81 cents on the week and \$1.6072 on the year, EIA distillate stocks fell 3.5 mb in the week to 31 July to about 12% below the five-year average, and the Joint War Committee has just extended the Red Sea war-risk listed area roughly 800 km north over Jeddah and Yanbu.

Pre-war anchor (27 Feb 2026 close). Brent \$72.48; WTI \$67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline (AAA) \$3.52; Henry Hub \$3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified field by field — unchanged.) Brent +11.7%, WTI +14.3%, TTF +87.0%, Asia LNG +96.3%; the 30Y (+61.0 bp), 10Y (+73.6 bp), 5Y5Y (+19.2 bp), DXY (+2.38) and MOVE (+2.74) sit above their anchors; the 10Y breakeven (−0.6 bp), VIX (−4.71) and Henry Hub (−14.5%) are below pre-war. Two entries changed character this session and both are corrections to yesterday. MOVE is **+2.74** rather than +0.20, so the round-trip reading is withdrawn. And **Henry Hub at −14.5% is a new low for the entire war**, printed on the same morning Brent trades an \$8.45 premium and Asian and European gas trade 96% and 87% above their anchors. That combination is the edition in one line: **the cheapest US natural gas of the conflict alongside the most expensive seaborne gas, which is a routing shock in its purest recorded form** — and a long end still 61 bp above its anchor with rates volatility only 3.7% above its own, which remains a term-premium story rather than a volatility story.

Intraday caveat. The latest dated row is a Singapore-AM snapshot and US hours set the close. The error is regime-dependent rather than random — large when the US session has something to trade, small when it does not — and this session is the emphatic large case, one day after the small one. The corollary flagged on 5 August held exactly: a quiet reconciliation is not evidence that the next one will be quiet. **Brent closed \$2.26 ABOVE my snapshot, the widest upside crude gap recorded, and the curve closed 6.0 to 6.7 bp above it** — the second largest long-end miss after the 7.59 bp of 31 July, and the second occasion in eight sessions on which the snapshot missed the entire US session in price and rates simultaneously. Recent Brent gaps between my snapshot and the subsequent close: −\$3.32, −\$0.84, +\$1.97, −\$0.47, −\$3.99, +\$0.10, **+\$2.26**. Today the caveat runs the other way as well and more sharply than usual: **July payrolls are released at 8:30am ET, roughly eleven hours after this snapshot was taken**, so nothing in this edition reflects them and the first read will be Monday's row. CL2 remains an artifact against active CLA and the front-month/active gap is \$2.23 in Brent; the scored CO2 continuation series is unaffected. Triggers are evaluated on confirmed closes; escalation-risk and maritime denial are event-based. Restated-series levels are not comparable with pre-restatement editions, though the directional analysis is continuous.